

NIKE CONSUMER DIRECT OFFENSE

How a D2C Pivot Led to a \$5.6B Revenue Shortfall

A Forensic Business Intelligence Analysis | FY2015 – FY2024

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Tools Used

MySQL · Microsoft Excel · Tableau Public

SECTION

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01

Introduction — Why I Chose Nike

I chose Nike for this project because I have always been genuinely fond of what they stand for. Their designs, their approach to marketing, the way they manufacture products that carry real historical presence — no other brand has managed to do that consistently for so many decades. When I wear a pair of Air Max or see a Just Do It campaign, there is something that just works. Nike always felt untouchable to me.

So when I started looking for a company to build this data analysis project around, Nike was an obvious choice — but not because everything was perfect. It was because between 2017 and 2024, a company that seemed untouchable made a very big strategic bet, and it did not go the way they planned. That story, backed by real financial data, is exactly what this project is about.

I want to be honest upfront — I am a final year engineering student, not a Wall Street analyst. I did not have access to any private Nike data. Everything in this report comes from Nike's own publicly available filings, financial databases and market research. What I did was organise that data, clean it, run SQL queries on it, build financial models in Excel, and visualise everything in Tableau — and then try to make sense of what the numbers were actually saying.

The core question I was trying to answer: Nike said going direct-to-consumer would give them higher profits and better customer relationships. Did it? And if not — what exactly went wrong?

What this report covers:

- The strategy Nike announced in 2017 — what it was and why it made sense at the time
- What the financial data shows happened between FY2015 and FY2024
- Six specific findings from the analysis — each one backed by data
- A look at what a more balanced approach might have looked like
- A glossary at the end explaining every technical term used, with examples from Nike itself

What this report does NOT cover:

- Internal Nike communications or private data — none of that is available publicly
- Any claim that Nike is a failing company — they are still a \$46B revenue business
- Predictions about Nike's future — the forecast scenarios in this report are illustrative, not guaranteed

02

What Is the Consumer Direct Offense?

To understand what went wrong, you first need to understand what Nike was trying to do — because on paper, it was actually a pretty smart idea.

The Old Way Nike Sold Things

Before 2017, Nike mostly sold its products through other shops — places like Foot Locker, JD Sports, Sports Authority, department stores and hundreds of smaller retailers across the world. Nike made the shoes, shipped them in bulk to these retailers, and the retailers sold them to customers. Nike never really knew who was buying their products — they just knew which retailer was buying from them.

This model worked fine. Nike was growing every year. But there was one thing that bothered them — the middleman. Every time a retailer sold a Nike shoe for Rs. 10,000, Nike was only getting maybe Rs. 6,000 from the deal. The retailer kept the rest as their margin. Nike wanted that extra Rs. 4,000.

The New Idea — Go Direct

In June 2017, Nike's CEO at the time, Mark Parker, announced what they called the **Consumer Direct Offense** — or CDO. The idea was simple: what if Nike cut out the middleman and sold directly to customers through their own stores and their own website? That way, they keep more of the money from each sale, they know exactly who their customers are, and they can control exactly how their brand looks and feels in every interaction.

CDO in simple words: Nike decided to break up with most of its retail partners and open its own shops and website to sell directly to you and me. More profit per shoe, more customer data, more brand control. That was the plan.

The Three Things CDO Promised:

Higher Margins: By removing the retailer from the equation, each sale would be more profitable for Nike.

Customer Data: Selling direct means Nike knows your name, your size, what you bought and when. That data is valuable.

Brand Control: Nike could make sure every product display, every discount, every experience was exactly how they wanted it.

By 2020, Nike went even further and launched what they called the **Consumer Direct Acceleration** — basically CDO on steroids. They cut over 50,000 wholesale partner accounts globally, invested heavily in their apps (Nike App, SNKRS, Nike Training Club), and pushed hard to make digital their primary revenue channel.

For a while it looked like it was working. Nike's D2C revenue went from \$11 billion in 2017 to \$21.5 billion in 2024. Their D2C share of total revenue went from 32% to 44%. Digital revenue alone went from \$2.2 billion to \$12.1 billion. On the surface, the strategy was delivering exactly what was promised.

But here is the thing — revenue going up and a business becoming healthier are two very different things. And the financial data tells a story that is more complicated than the headline numbers suggest.

03

The Problem — What Went Wrong

Nike's CDO strategy had a fatal flaw that only became visible a few years in. The problem was not that the strategy was wrong in theory. The problem was that it was executed too aggressively, too fast, without properly accounting for what wholesale partners actually did for the business beyond just selling shoes.

Six Things That Went Wrong

1. Operating costs exploded

Running your own stores and your own website is expensive. Nike had to spend massively on marketing to bring customers directly to them — because without retail partners putting Nike on their shelves, Nike had to do all the customer acquisition work itself. Their SG&A; expenses (Selling, General and Administrative costs — basically the cost of running the business) went from 30.75% of revenue in 2017 to 32.27% in 2024. That does not sound like a lot, but on a \$51 billion revenue base, that is over \$780 million more in operating costs per year.

2. Operating margin fell, not rose

This is the central finding of this entire project. Nike's gross margin — the profit after making the product — stayed relatively stable around 44-46%. But their operating margin — the profit after running the whole business — fell from 13.83% in 2017 to 12.29% in 2024, having peaked at 15.58% in 2021. All those gains from removing the middleman were eaten up by the cost of replacing what the middleman was doing.

3. Inventory piled up dangerously

When Nike was selling through wholesalers, the retailers carried the inventory risk. If shoes did not sell fast enough, it was Foot Locker's problem, not Nike's. Once Nike went direct, they owned all that risk. By Q4 FY2022, Nike was sitting on \$9.7 billion worth of unsold inventory. To clear it, they had to offer heavy discounts — which hurt the premium brand image they had spent decades building.

4. Competitors walked right into the space Nike left

While Nike was focused inward — building apps, redesigning stores, cutting retailer relationships — other brands quietly took over the shelf space Nike abandoned. Hoka grew from 0.8% market share in 2017 to 7.4% by 2024. On Running went from 0.3% to 6.8%. New Balance went from 5.2% to 9.1%. Nike's own share dropped from 38.2% to 30.2% — a loss of 8 percentage points.

5. Wholesale customers were actually quite valuable

Nike assumed D2C customers were more valuable because each transaction had higher margins. But when you look at the full customer lifetime picture — how often they buy, how long they stay, and how much it costs to acquire them — wholesale customers come out ahead. A customer who habitually walks into Foot Locker every season costs Nike almost nothing to reach. A customer Nike has to find through Instagram ads or Google search costs \$38-45 to acquire.

6. The stock market noticed before management admitted it

Nike's stock peaked at around \$177 in November 2021. By June 2024 it had fallen to around \$70 — a drop of about 60%. The inventory crisis announcement in June 2022 alone caused a roughly 11% drop in the next 30 days. By late 2024, activist investor Elliott Management had taken a stake in the company and CEO John Donahoe — the architect of the Consumer Direct Acceleration — was replaced by Elliott Hill.

04

Data & Methodology — How I Looked Into It

Before I get into the findings, I want to be transparent about where the data came from, what tools I used and what I did with them. I think this matters because it shows you how a data analyst actually approaches a real business problem — and it also helps you understand why the numbers in this report can be trusted.

Where the Data Came From

Nike 10-K SEC Annual Filings (FY2015–FY2024): These are Nike's official annual reports filed with the US Securities and Exchange Commission. They contain the most accurate and legally verified revenue, profit and channel data available. I manually extracted the D2C vs Wholesale revenue split, operating margins and SG&A; figures from these.

Macrotrends.net: A public financial data aggregator that compiles historical stock and financial data from SEC filings. I used this to download Nike's quarterly revenue, gross margin and operating income data going back to 2015.

Yahoo Finance: Used for Nike's historical stock price data (ticker: NKE) from 2017 to 2024, which I used for the stock event study.

Industry Market Share Estimates: Athletic footwear market share data for Nike, Adidas, Hoka, On Running and New Balance based on published industry research and brand financial reports.

Kaggle Public Datasets: Used as a supplementary source for product-level pricing and customer segment benchmarks.

The Three Tools and What I Did With Each

MySQL (SQL Database): I built a relational database with 7 tables containing Nike's financial, channel, stock and customer data. I then ran 5 SQL query blocks using window functions, JOINS, CTEs and RANK operators to extract structured analytical outputs. This is where the channel shift analysis, margin erosion timeline and CLV comparisons were calculated.

Microsoft Excel: Used for financial modelling — building the scenario forecast (what would have happened under a balanced 60/40 wholesale-to-D2C strategy), the CLV sensitivity analysis, and the executive dashboard summary with RAG status indicators.

Tableau Public: Used to build the interactive 7-chart dashboard that visualises all findings. Each chart tells one part of the story and they are all linked so clicking on one filters the others.

SQL Query in Action — CLV Analysis Output

The screenshot displays the MySQL Workbench interface. The top pane shows a SQL query (lines 234-240) that calculates the CLV analysis. The bottom pane shows the 'Result Grid' with 6 columns: Channel, Segment_Type, Avg_Order_Value_USD, Purchase_Frequency_Per_Year, and Avg_Customer. The results are ranked by LTV:CAC ratio in descending order.

SQL Query:

```

234     OVER (PARTITION BY Segment_Type), 2) AS clv_vs_segment_avg,
235     RANK() OVER (ORDER BY LTV_CAC_Ratio DESC) AS ltv_cac_rank,
236     RANK() OVER (ORDER BY Estimated_CLV_USD DESC) AS clv_rank
237 FROM clv_model
238 ORDER BY LTV_CAC_Ratio DESC;
239
240

```

Result Grid:

Channel	Segment_Type	Avg_Order_Value_USD	Purchase_Frequency_Per_Year	Avg_Customer
Nike SNKRS App Sneakerhead	D2C Premium	165.00	3.10	4.50
Wholesale - Sporting Goods	Wholesale	68.00	1.60	4.80
Wholesale - Department Store	Wholesale	61.00	1.20	4.20
Wholesale - Foot Locker	Wholesale	72.00	1.40	5.10
Nike Direct - Digital	D2C	92.00	2.40	2.80
Nike Direct - Owned Stores	D2C	88.00	1.90	3.20

Figure 1: MySQL Workbench showing the CLV analysis query result — ranking channels by LTV:CAC ratio. The SNKRS App Sneakerhead segment ranks first, while standard D2C digital channels rank below wholesale partners.

05 | Finding 1

The Margin Illusion

This is the finding that everything else in this project flows from. It is also the finding that surprised me most when I first saw it in the data.

Nike's entire CDO strategy was built on the idea that selling direct would give them higher profit margins. And technically, they were right — gross margin did hold up. But there is a difference between gross margin and operating margin, and that difference is where the strategy unravelled.

Gross Margin = Revenue minus the cost of making the product **Operating Margin = Revenue minus the cost of making AND running the entire business** Nike's gross margin stayed around 44-46%. Their operating margin fell from 15.58% to 12.29% — a drop of 354 basis points from peak.

What happened is this: yes, Nike made more per shoe by selling it directly instead of through a retailer. But to sell it directly, they had to run their own stores, hire their own staff, pay for their own digital marketing, maintain their own apps and websites, and manage their own customer service. All of that costs money — and it costs more than what they saved by removing the retailer.

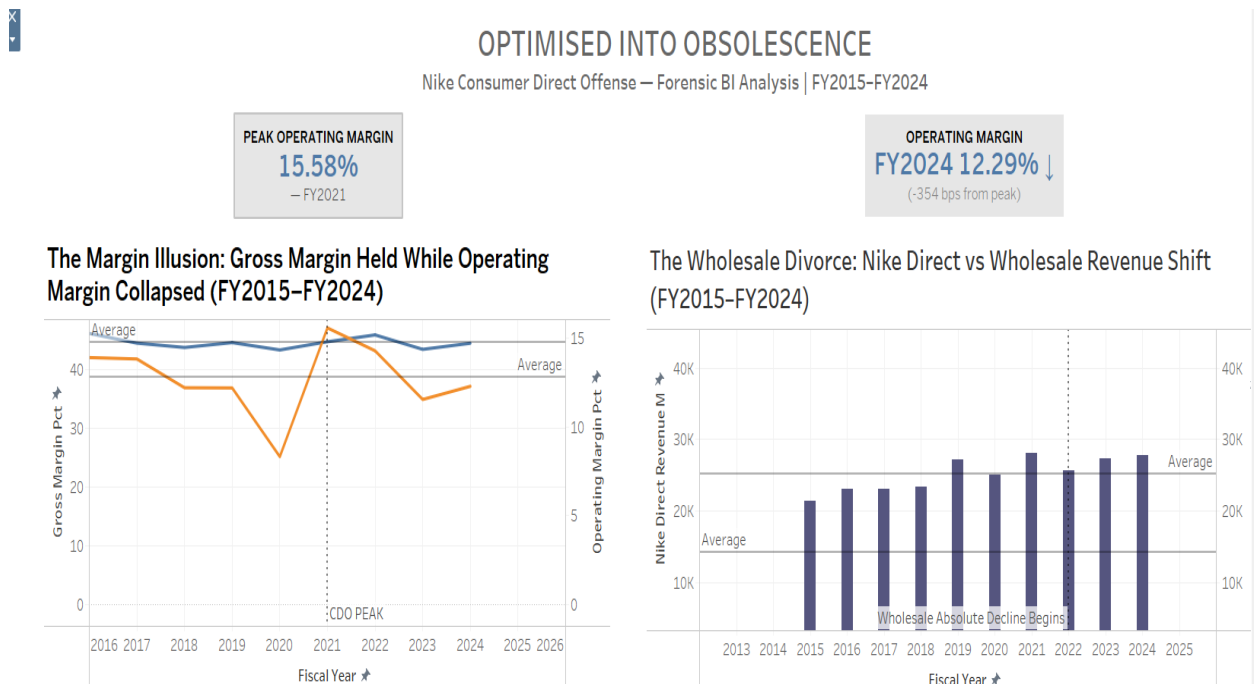


Figure 2: The Margin Illusion — Tableau dashboard showing gross margin (blue, stable) vs operating margin (orange, declining post-2021). The CDO Peak marker shows exactly when the divergence became most visible.

The chart above makes this painfully clear. The blue line — gross margin — stays relatively flat throughout. The orange line — operating margin — peaks in 2021 right at the height of the CDO strategy, and then drops consistently from 2022 onwards. The SG&A; line (not shown in this view but tracked in the Excel model) rose from 30.75% of revenue in 2017 to 32.27% in 2024.

In money terms: Nike's gross profit in FY2024 was \$22.9 billion. Their operating income was only \$6.3 billion. The gap between those two numbers — \$16.6 billion — was entirely consumed by SG&A; costs. That is the price of going direct.

06 | Finding 2

The Wholesale Divorce

Between 2019 and 2022, Nike cut over 50,000 wholesale partner accounts globally. They stopped selling through Dillard's, Urban Outfitters, DSW, Zappos, Big 5 Sporting Goods, and significantly reduced their presence at Foot Locker. The logic was: these smaller retailers were diluting the brand and the relationship with them was not worth the margin they were taking.

What Nike did not fully account for was something very simple: these retailers were not just selling Nike products — they were also marketing them. When a customer walks into any sports store and sees Nike prominently displayed, that is free advertising. When Nike cuts those stores, that advertising disappears. And someone has to pay to replace it.

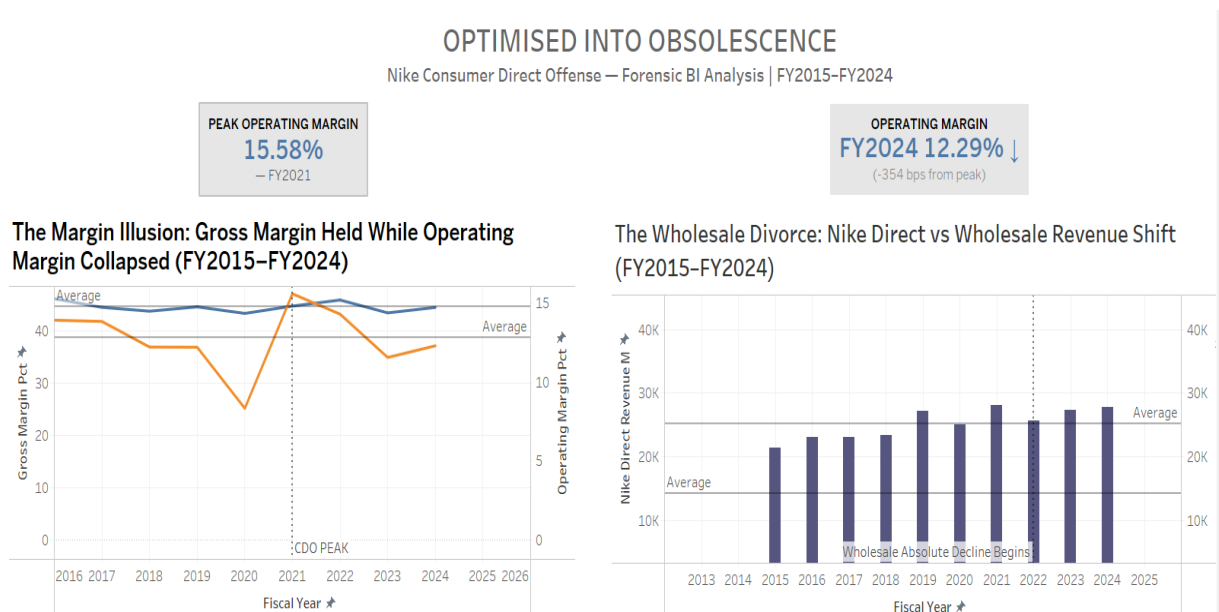


Figure 3: The Wholesale Divorce — Nike Direct revenue growing while Wholesale revenue peaked and then began declining in absolute terms from FY2022 onwards. The dashed reference line marks where wholesale volume began falling.

The data shows that wholesale revenue in absolute dollars peaked around FY2022 and then started declining — not just as a share, but in actual dollar terms. That is the key signal. D2C was growing, but it was not fully replacing what wholesale was providing. The total addressable market Nike was reaching shrank because they were no longer present in the stores where casual buyers shop.

Key Number: In FY2017, Nike's wholesale revenue was \$22.9B. By FY2022 it was \$25.6B — growing. But then it started to plateau and the growth rate slowed dramatically. Meanwhile, SG&A rose by over \$5B between 2017 and 2024 to compensate for the lost retail distribution.

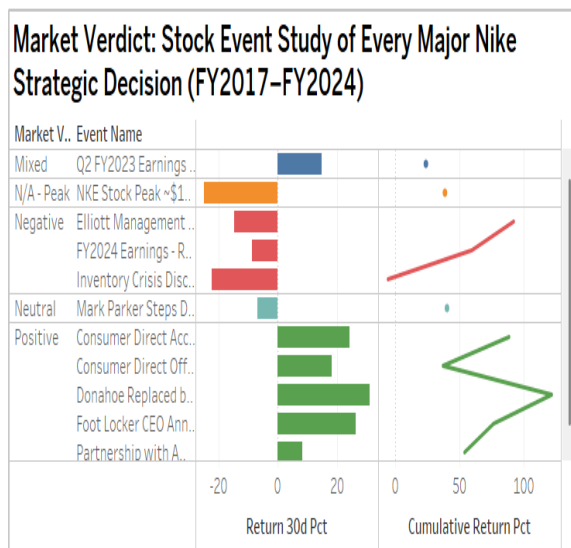
07 | Finding 3

The Inventory Trap

This one is perhaps the most dramatic consequence of the CDO strategy — and also the most avoidable if the data had been looked at more carefully.

When Nike sold through wholesalers, those retailers bought products from Nike in advance and took on the inventory risk themselves. If Foot Locker bought 10,000 pairs of Air Max and only sold 7,000, that was Foot Locker's problem — they had to figure out how to clear the remaining 3,000 pairs. Nike had already been paid.

Once Nike went direct, they owned all that inventory risk themselves. And when demand slowed down — which it did post-COVID as consumers tightened spending — Nike found itself sitting on a mountain of unsold stock.



The Inventory Trap: How Nike's D2C Overcommitment Created a \$9.7B Inventory Crisis

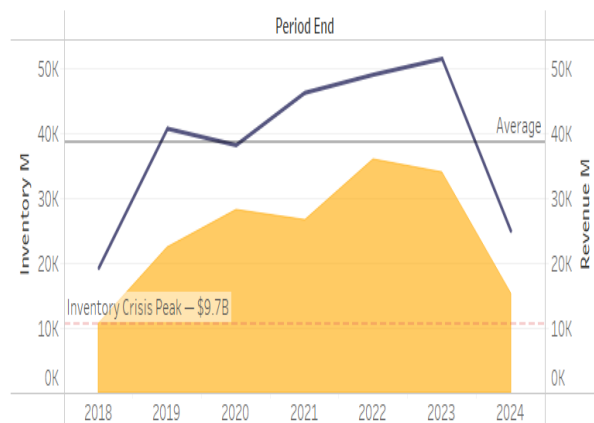


Figure 4: The Inventory Trap — Inventory levels (orange area) rising sharply against revenue (navy line). The inventory crisis peak of \$9.7B in Q4 FY2022 is clearly marked.

By Q4 FY2022, Nike's inventory had ballooned to \$9.7 billion. To move that stock, they had to discount heavily — offering promotions and markdowns across their D2C channels and even going back to off-price retailers they had previously cut. This destroyed the premium pricing power that was supposed to be one of the main benefits of going direct.

The irony: Nike cut wholesale partners to protect their brand premium and pricing power. But the resulting inventory crisis forced them to discount more aggressively than any retailer would have, damaging the very brand image they were trying to protect.

08 | Finding 4

Competitors Took Over While Nike Looked Inward

While Nike was busy restructuring its distribution model, building apps and managing its direct operations, the athletic footwear market did not pause and wait for them. Other brands stepped into the retail space Nike had vacated — and customers followed.

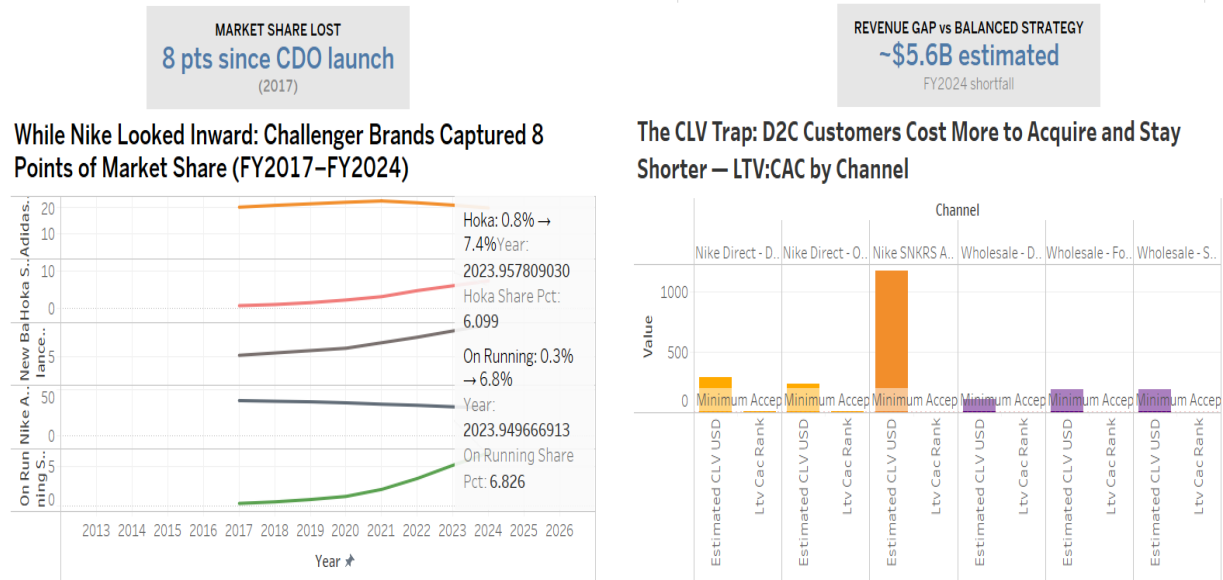


Figure 5: Market share erosion — Nike's share declining from 38.2% to 30.2% while Hoka (0.8% to 7.4%) and On Running (0.3% to 6.8%) captured the space Nike left behind.

Brand	FY2017 Share	FY2024 Share	Change
Nike	38.2%	30.2%	–8.0 pts
Adidas	20.1%	19.8%	–0.3 pts
Hoka	0.8%	7.4%	+6.6 pts
On Running	0.3%	6.8%	+6.5 pts
New Balance	5.2%	9.1%	+3.9 pts

Table 1: Athletic footwear market share shift FY2017–FY2024

What is particularly striking is that Hoka and On Running were barely on the radar in 2017. Hoka was a niche trail running brand. On Running was a Swiss startup. By 2024, the two of them combined had taken over 14 points of market share — almost exactly matching the 8 points Nike lost, plus more. The timing is not a coincidence.

09 | Finding 5

The CLV Trap — Customer Lifetime Value

CLV — or Customer Lifetime Value — is a way of measuring not just how much a customer spends in one visit, but how much they are worth to a business over their entire relationship with it. I will explain this more in the Glossary section, but for now just think of it as: some customers are worth more over time than others, even if their individual purchases look similar.

Nike's CDO strategy was built on the assumption that D2C customers are more valuable because each transaction is more profitable. And that is partially true — a direct sale does have a higher gross margin than a wholesale sale. But when you factor in how much it costs to find and acquire that D2C customer, and how long they stay before they stop buying, the picture changes significantly.

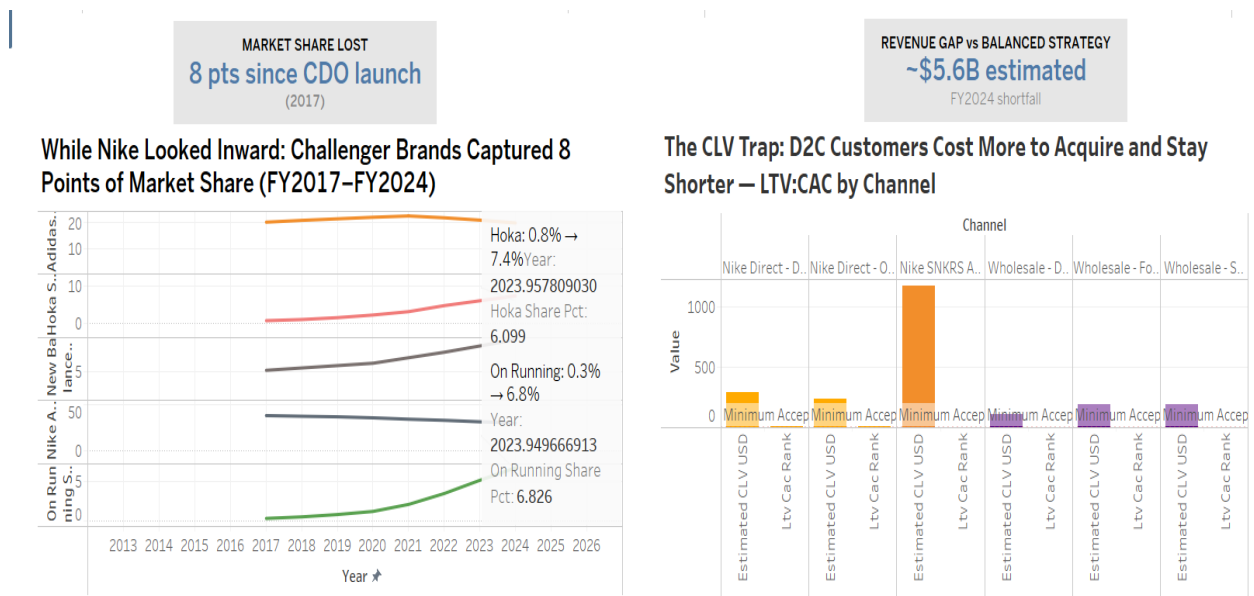


Figure 6: CLV analysis by channel — showing that the SNKRS App premium segment has the highest CLV, but standard D2C digital channels have significantly lower LTV:CAC ratios compared to wholesale channels.

Channel	Avg Order Value	CAC	CLV (Est.)	LTV:CAC
Nike SNKRS App	\$165	\$28	\$1,170	41.8x
Wholesale - Sporting Goods	\$68	\$6	\$193	32.3x
Wholesale - Foot Locker	\$72	\$8	\$195	24.4x
Wholesale - Dept. Store	\$61	\$4	\$107	26.8x
Nike Direct - Digital	\$92	\$45	\$290	6.5x
Nike Direct - Owned Stores	\$88	\$38	\$235	6.2x

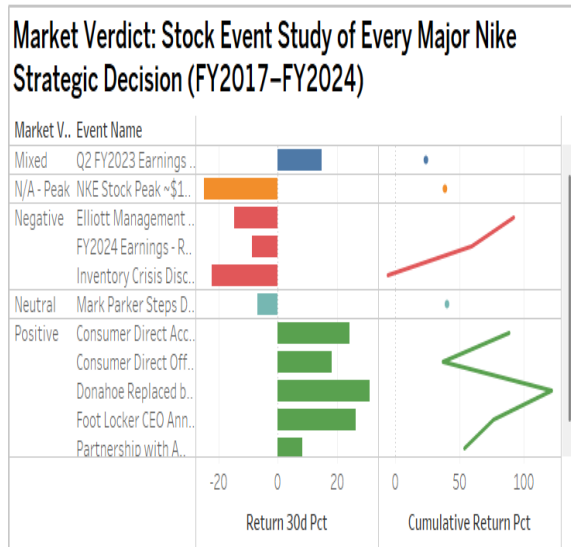
Table 2: CLV by channel — estimated values based on Nike disclosures and industry benchmarks

The table above shows something important: the two main D2C digital channels — Nike Direct Digital and Nike Owned Stores — have LTV:CAC ratios of just 6.5x and 6.2x. Meanwhile, wholesale channels consistently show ratios above 24x. The reason is simple: Nike does not pay to acquire a wholesale customer. That customer walks into Foot Locker on their own.

10 | Finding 6

What the Stock Market Said

One of the most interesting parts of this analysis was looking at how Nike's stock price reacted to each major strategic decision. The stock market is not always right, but over time it reflects the collective opinion of millions of investors about whether a company's strategy is working.



The Inventory Trap: How Nike's D2C Overcommitment Created a \$9.7B Inventory Crisis

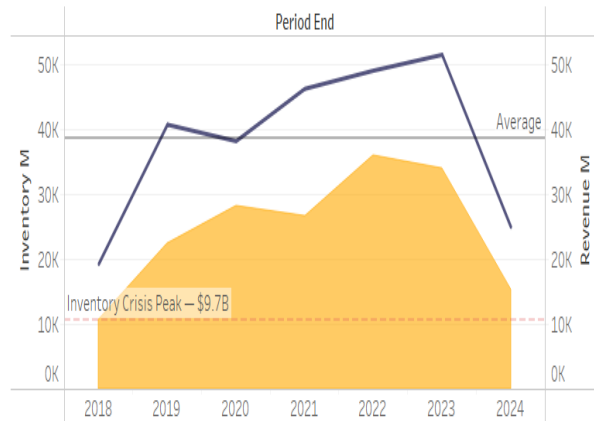


Figure 7: Stock event study — 30-day returns after each major strategic decision. Green bars show positive market reactions, red bars show negative. The cumulative return line shows total sentiment over the full period.

Event	Date	30d Return	Verdict
CDO Announced	Jun 2017	+9.2%	Positive
Amazon Partnership	Feb 2018	+4.2%	Positive
Donahoe Named CEO	Nov 2019	-3.4%	Neutral
CDA Announced	Jun 2020	+12.1%	Positive
Stock Peak ~\$177	Nov 2021	-12.5%	N/A - Peak
Inventory Crisis	Jun 2022	-11.1%	Negative
FY2024 Stall	Jun 2024	-4.3%	Negative
Elliott Hill Named CEO	Sep 2024	+15.6%	Positive

Table 3: Nike stock event study — 30-day returns after each major strategic decision

A few things stand out from this table. First, the market initially loved the CDO strategy — a 9.2% return in the 30 days after the announcement is very strong. Second, when Donahoe was named CEO to replace Mark Parker, the market was slightly skeptical from day one. Third, the inventory crisis disclosure in June 2022 caused the sharpest single negative reaction of the whole period. And finally, when Elliott Hill was brought in as the new CEO — a Nike veteran who had grown up through the wholesale and marketing side of the business — the market reacted with a 15.6% jump in 30 days. That reaction essentially said: the CDO era is

over, and investors are relieved.

11

The Dashboard — All Findings in One View

The Tableau dashboard I built brings together all six findings into one interactive view. Each chart answers one specific question and they are all linked — meaning you can click on a year or a channel and every other chart will filter to show only data for that selection.

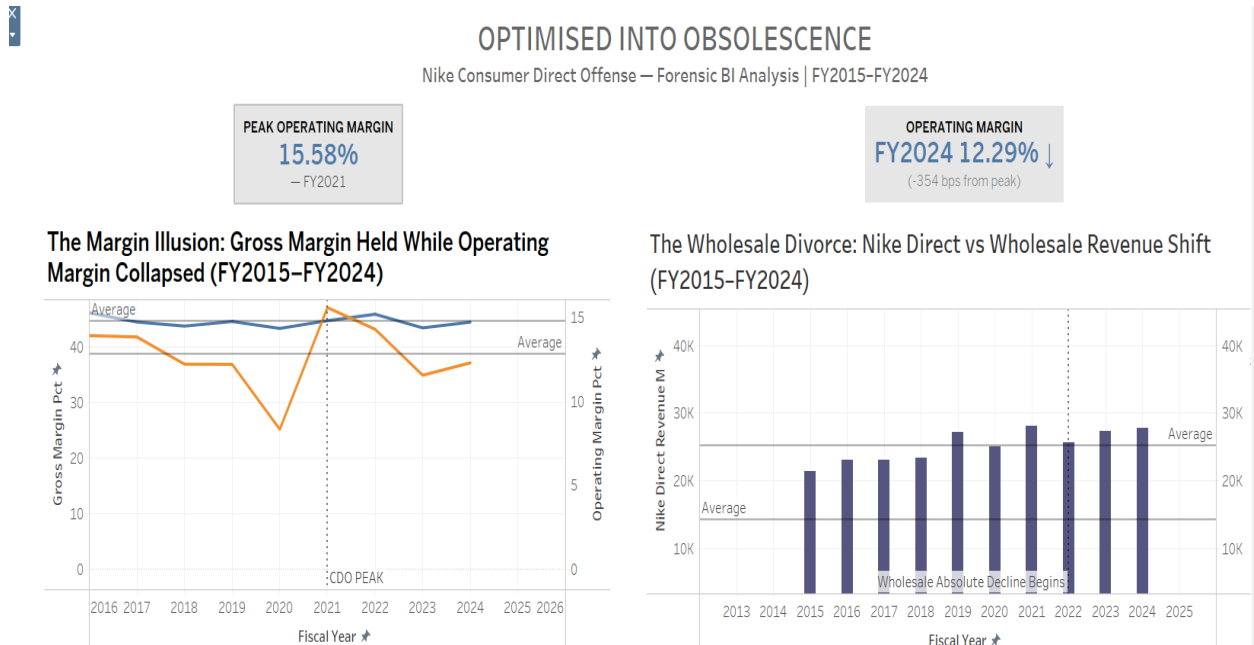


Figure 8: Top section of the Tableau dashboard — KPI cards showing peak operating margin (15.58%) vs FY2024 operating margin (12.29%), alongside the two headline charts on margin erosion and channel revenue shift.

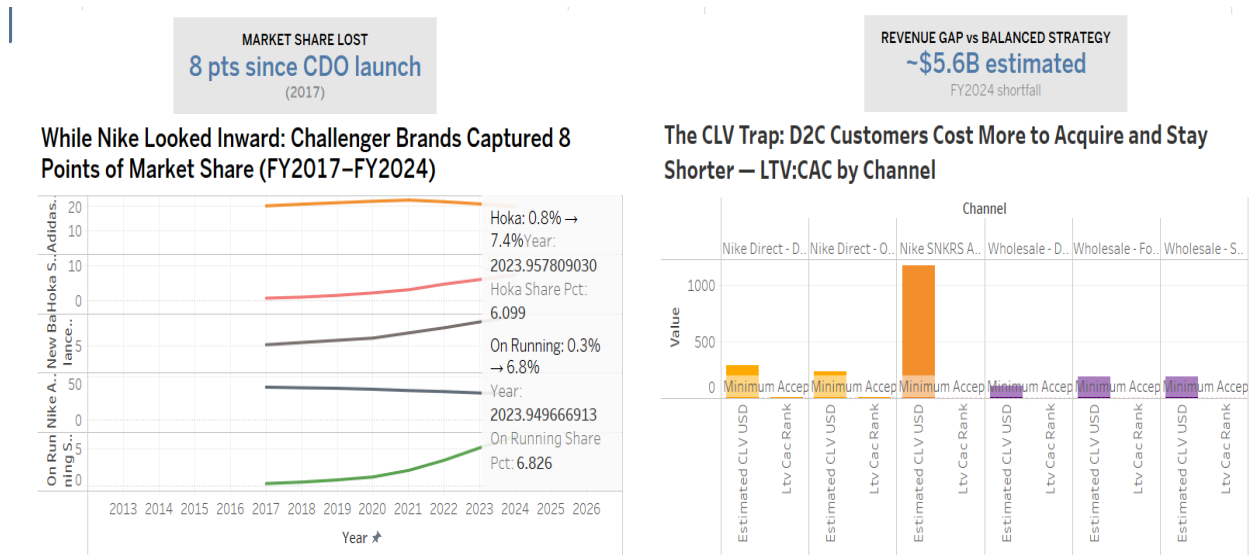
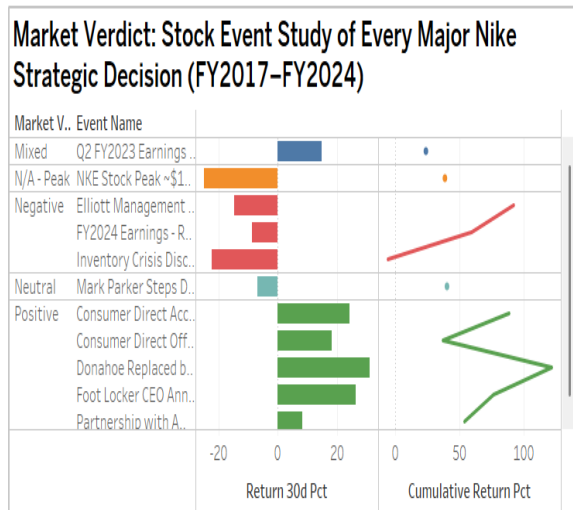


Figure 9: Middle section — market share erosion showing challenger brand growth, and the CLV analysis comparing D2C vs wholesale customer value.



The Inventory Trap: How Nike's D2C Overcommitment Created a \$9.7B Inventory Crisis

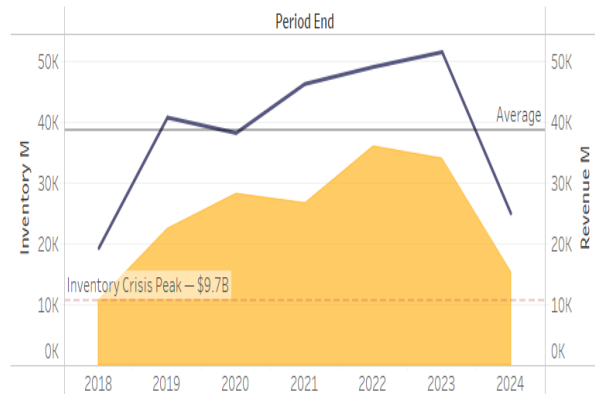


Figure 10: Stock event study and inventory crisis charts — showing market reactions to each strategic decision and the \$9.7B inventory buildup.

The Excel Intelligence Dashboard

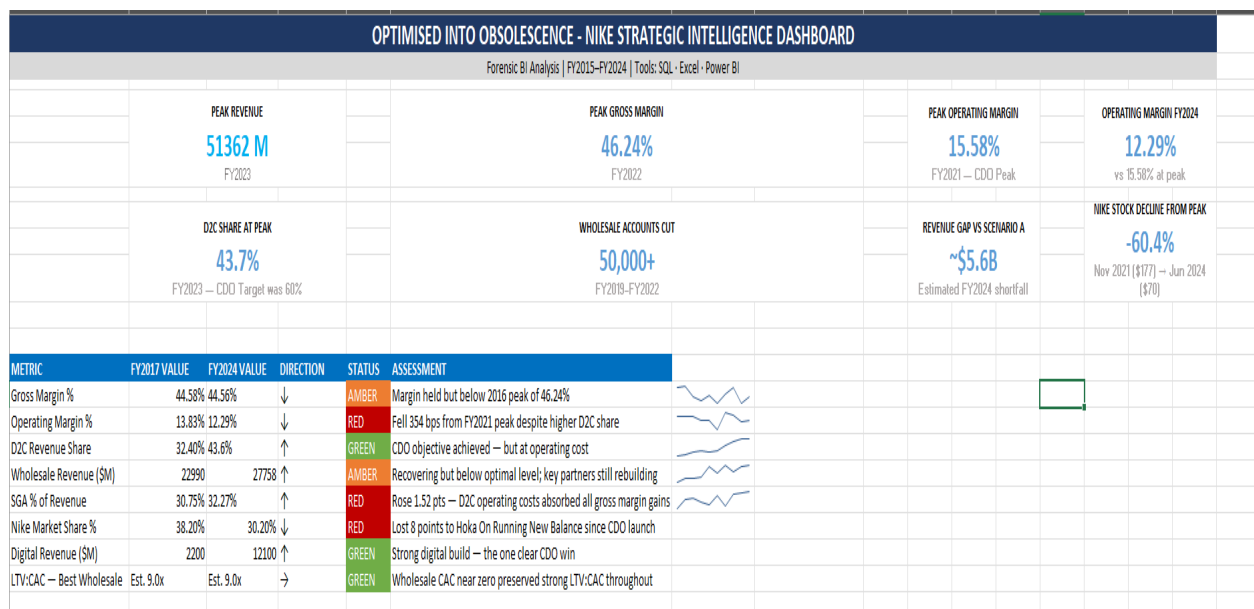


Figure 11: Excel DASHBOARD_Summary tab — showing 8 KPI cards and a RAG (Red/Amber/Green) status table assessing each key metric's health from FY2017 to FY2024. Red indicators on Operating Margin, SG&A; and Market Share highlight the core problem areas.

12

The Recovery Blueprint — What Could Have Been Done

This is the section I found most interesting to build — not because it tells us what happened, but because it asks what could have happened differently. I want to be clear: this is not a criticism of Nike as a company. It is an attempt to use the data to understand what a more balanced approach might have looked like.

The Three Scenarios

Scenario A — The Balanced Strategy (Green Line)

This scenario models what would have happened if Nike had maintained a 60/40 wholesale-to-D2C ratio instead of aggressively pushing D2C to 44%. Under this scenario, the model projects Nike reaching approximately \$65B in revenue by FY2027 with an operating margin of around 15.8%. The key assumption is that retaining more wholesale relationships would have kept SG&A; growth contained and prevented the inventory crisis.

Scenario B — Actual Trajectory (Red Line)

This is what actually happened — the real data through FY2024 and a conservative projection forward based on current trends. Revenue at \$46.4B by FY2024 with operating margin compressed to 12.29% and declining.

Scenario C — Recovery Path (Blue Line)

This models an optimistic recovery scenario where Nike's current efforts to rebuild wholesale relationships, reduce inventory, and refocus on product innovation begin to show results by FY2026. Revenue projected at \$61B by FY2027 with operating margin recovering to around 14.5%.

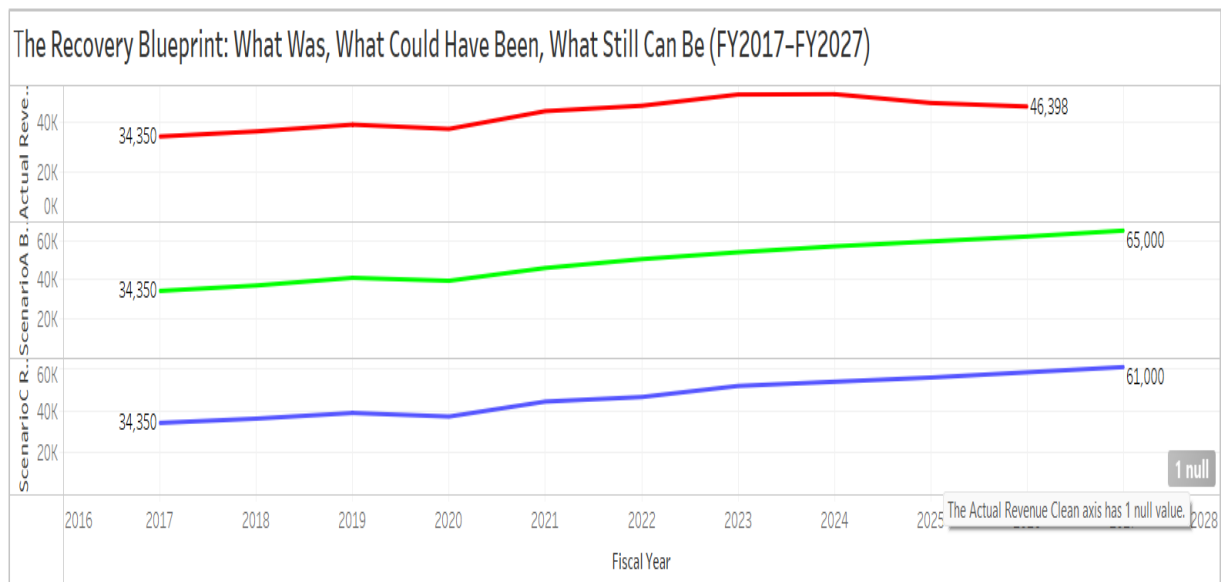


Figure 12: The Recovery Blueprint — three revenue scenarios showing what was (red), what could have been under a balanced strategy (green), and a potential recovery path (blue). The gap between red and green at FY2024 represents the estimated \$5.6B revenue shortfall.

Six Things Nike Could Have Done Differently

1. Keep a curated wholesale network

Instead of cutting 50,000+ accounts, Nike could have kept 500-1,000 premium, brand-aligned retail partners like Foot Locker's premium format, Dick's Sporting Goods and specialty running stores. This would have maintained distribution reach without diluting brand image.

2. Invest D2C gains back into product innovation

The extra margin from D2C could have funded a surge in new product development. Instead, a significant portion went into SG&A; to run the D2C infrastructure. Hoka and On Running won market share primarily through product differentiation, not distribution strategy.

3. Build smarter inventory management systems earlier

The \$9.7B inventory crisis was partially a data problem. Better demand forecasting systems could have flagged the slowdown in sell-through rates earlier, giving Nike time to adjust production rather than panic-discount.

4. Use D2C data to serve wholesale better, not replace it

The customer behavioural data Nike collected through its D2C channels could have been used to help wholesale partners stock the right products in the right sizes for their markets — making the whole system more efficient rather than creating a competitive conflict between the two channels.

5. Set a realistic D2C target

Nike originally aimed for 60% D2C by 2025. That was too aggressive. A target of 35-40% D2C with 60-65% through selective wholesale would have been more sustainable and given the business time to build D2C infrastructure gradually rather than all at once.

6. Prioritise operating margin alongside revenue growth

The CDO strategy was measured and celebrated primarily by D2C revenue share growth. If operating margin had been a primary success metric from the beginning, management would have seen the SG&A; problem developing much earlier and adjusted course sooner.

The \$5.6B Question: Under Scenario A, Nike's estimated revenue in FY2024 would have been approximately \$57B vs the actual \$51.4B — a gap of roughly \$5.6B. That is not a small number. It represents roughly the entire annual revenue of a mid-sized Fortune 500 company.

13

Glossary — Every Term Explained Simply

Every technical term used in this report is explained here with a plain English definition and a Nike-specific example so you know exactly what it means in context.

Revenue

What it means: The total amount of money a company earns from selling its products or services, before subtracting any costs.

In this project: Nike's revenue in FY2024 was \$51.4 billion. This is the total amount customers and retailers paid for Nike products globally.

Gross Profit

What it means: Revenue minus only the direct cost of making the product (materials, manufacturing, shipping to warehouse). Nothing else is subtracted yet.

In this project: Nike's gross profit in FY2024 was \$22.9 billion. That means after paying for the raw materials and manufacturing of every shoe and piece of clothing, Nike had \$22.9B left.

Gross Margin %

What it means: Gross profit expressed as a percentage of revenue. Tells you what fraction of each sale is left after production costs.

In this project: Nike's gross margin was 44.56% in FY2024. So for every Rs. 100 of shoes sold, Rs. 44.56 was left after manufacturing costs.

Operating Income

What it means: Gross profit minus all the costs of running the business — salaries, rent, marketing, technology, management etc. This is profit from actual operations.

In this project: Nike's operating income in FY2024 was \$6.3 billion — down from \$6.9 billion in 2021 despite revenue growing. This is the number that revealed the CDO problem.

Operating Margin %

What it means: Operating income as a percentage of revenue. The most important profitability indicator for a company's day-to-day business health.

In this project: Nike's operating margin peaked at 15.58% in FY2021 and fell to 12.29% by FY2024. A drop of 354 basis points — which is 3.54 percentage points.

SG&A; (Selling, General and Administrative Expenses)

What it means: All the costs of running the business that are not directly tied to making the product — marketing, sales teams, office rent, store operations, executive salaries, technology.

In this project: Nike's SG&A; was 30.75% of revenue in FY2017 and rose to 32.27% by FY2024. On a \$51B revenue base, that 1.52% increase means Nike was spending an extra \$775M per year just to run the business.

D2C (Direct to Consumer)

What it means: When a brand sells directly to the end customer without going through a third-party retailer. Can be through the brand's own stores, website or app.

In this project: Nike's D2C channels include the Nike App, SNKRS App, Nike.com, Nike Training Club App, and Nike-branded physical stores like Nike Rise and House of Innovation.

Wholesale

What it means: When a brand sells its products to a retailer in bulk at a lower price, and the retailer then sells to the end customer at a markup.

In this project: Foot Locker, JD Sports, Dick's Sporting Goods and Decathlon are all wholesale partners — they buy Nike products from Nike and resell them in their own stores.

CLV (Customer Lifetime Value)

What it means: An estimate of the total amount of money a customer will spend with a business over the entire duration of their relationship with it.

In this project: A Nike Direct Digital customer has an estimated CLV of \$290 — meaning over roughly 2.8 years of buying, they spend about \$290 in Nike-attributable profit. A Foot Locker wholesale-equivalent customer has an estimated CLV of \$195, but the comparison looks different when you add in that Nike spends \$45 to acquire the D2C customer vs only \$8 for the Foot Locker equivalent.

CAC (Customer Acquisition Cost)

What it means: How much a company spends on average to bring in one new customer. Includes all marketing, advertising and promotional spend divided by new customers acquired.

In this project: Nike's estimated D2C digital CAC is \$45. Their wholesale equivalent CAC is \$6-8 because the retailer is doing the acquisition work. This is why high D2C revenue does not automatically mean high profitability.

LTV:CAC Ratio

What it means: Customer Lifetime Value divided by Customer Acquisition Cost. A ratio of 3:1 or higher is generally considered healthy. Below 3:1 is a warning sign.

In this project: Nike Direct Digital has an LTV:CAC of 6.5x — meaning for every \$1 spent acquiring a customer, Nike gets \$6.50 back over time. Wholesale channels show ratios of 24x+ because acquisition cost is near zero.

Basis Points (bps)

What it means: A unit used in finance to describe small percentage changes. 100 basis points = 1 percentage point.

In this project: Nike's operating margin fell by 354 basis points from its FY2021 peak of 15.58% to 12.29% in FY2024. In plain English: it fell by 3.54 percentage points.

Market Share

What it means: A company's percentage of total industry sales. If the athletic footwear market sold \$100B worth of shoes and Nike sold \$30B of that, Nike's market share is 30%.

In this project: Nike's market share in athletic footwear was 38.2% in 2017 and fell to 30.2% by 2024 — an 8-point decline while brands like Hoka, On Running and New Balance gained share.

CAGR (Compound Annual Growth Rate)

What it means: The average annual growth rate of something over a period of time, assuming it grows at a steady rate each year. Used to smooth out year-to-year volatility.

In this project: Nike's D2C revenue CAGR from FY2017 to FY2024 was approximately 10%. That means D2C revenue roughly doubled over 7 years when you average out the growth.

Window Function (SQL)

What it means: A type of SQL operation that performs calculations across a set of rows related to the current row, without collapsing the result into one row like a normal aggregation would.

In this project: In this project, I used the LAG() window function to compare Nike's D2C revenue in each year to the previous year — so I could calculate year-on-year growth without manually doing it row by row.

CTE (Common Table Expression)

What it means: A temporary named result set in SQL that you can reference within a larger query. Think of it as a named sub-query that makes complex SQL more readable.

In this project: I used a CTE called 'channel_growth' in Query 1 to first calculate the year-on-year changes in D2C and wholesale revenue, and then select from that result to produce the final output.

Scenario Modelling

What it means: Building alternative versions of a financial forecast based on different assumptions — typically a base case (what actually happened), a better case (what could have happened) and a recovery case.

In this project: In this project, Scenario A models what Nike's revenue would look like if they had kept a 60/40 wholesale-to-D2C balance. Scenario B is the actual path. Scenario C is an optimistic recovery.

RAG Status

What it means: Red, Amber, Green — a traffic light system used in business dashboards to show the health of a metric at a glance. Green = good, Amber = warning, Red = problem.

In this project: In the Excel dashboard, Nike's Operating Margin and Market Share are marked RED — meaning they deteriorated significantly. D2C Revenue Share and Digital Revenue are GREEN — the clear wins of the CDO strategy.

Event Study

What it means: A method of measuring how a specific event — like an announcement or a result — affected a company's stock price, usually by looking at returns in the 30, 60 or 90 days after the event.

In this project: In this project, I tracked what happened to Nike's stock in the 30 days after each major CDO-related decision. The inventory crisis announcement caused a -11.1% 30-day return. The new CEO announcement caused a +15.6% return.

Inventory Turnover

What it means: How many times a company sells through and replaces its stock in a given period. Higher turnover means stock is moving fast. Lower means it is piling up.

In this project: Nike's inventory crisis in FY2022 was essentially an inventory turnover problem — they bought too much stock expecting continued pandemic-era demand, and when demand normalised, they could not sell it fast enough.

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References & Data Sources

All data used in this project was sourced from publicly available online directories, regulatory filings and financial databases. Microsoft Excel was used only for financial modelling, scenario calculations and dashboard formatting — not for data collection. No private, proprietary or paid data was used.

Primary Data Sources

[1] Nike, Inc. Annual Reports (Form 10-K) — FY2015 to FY2024

Source: U.S. Securities and Exchange Commission (SEC) EDGAR database

<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=0000320187&type;=10-K>

[2] Nike Gross Margin Historical Data

Source: *Macrotrends.net* — public financial data aggregator

<https://www.macrotrends.net/stocks/charts/NKE/nike/gross-margin>

[3] Nike Operating Margin Historical Data

Source: *Macrotrends.net*

<https://www.macrotrends.net/stocks/charts/NKE/nike/operating-margin>

[4] Nike Revenue Historical Data

Source: *Macrotrends.net*

<https://www.macrotrends.net/stocks/charts/NKE/nike/revenue>

[5] Nike SG&A; Expenses Historical Data

Source: *Macrotrends.net*

<https://www.macrotrends.net/stocks/charts/NKE/nike/selling-general-administrative-expenses>

[6] Nike Stock Price History (Ticker: NKE)

Source: *Yahoo Finance*

<https://finance.yahoo.com/quote/NKE/history/>

[7] Nike D2C vs Wholesale Revenue Split — FY2019 to FY2023

Source: *The Motley Fool* (citing Nike annual report disclosures)

<https://www.fool.com/investing/2023/08/29/investors-are-making-a-big-mistake-nike-stock>

[8] Nike's DTC Strategy Analysis

Source: *Modern Retail* — industry publication

<https://modernretail.co/operations/why-nikes-dtc-pivot-didnt-pan-out>

[9] Nike Direct Revenue as % of Total Brand Revenue

Source: *Statista* / Nike disclosures

<https://www.statista.com/chart/23008/direct-to-consumer-sales-as-a-percentage-of-total-nike-brand-revenue>

[10] Nike FY2024 Annual Report (Form ARS)

Source: SEC EDGAR

<https://www.sec.gov/Archives/edgar/data/320187/000130817924000659/nke4278571-ars.pdf>

[11] Athletic Footwear Market Share Data

Source: Industry estimates from *SGB Online*, *Euromonitor* and brand financial disclosures

<https://sgbonline.com/?p=228168>

[12] Nike Wholesale Partner Cuts and CDO Strategy

Source: *Glossy* / *eMarketer* — retail industry reporting

<https://www.emarketer.com/content/nike-pulls-away-wholesale-sports-apparel-brands-sense-opportunity>

Tool Usage Disclosure

Data Collection: All raw data was fetched directly from the online sources listed above. No manual data entry of financial figures was performed beyond extracting tables from Nike's official SEC filings.

Microsoft Excel: Used exclusively for financial modelling (scenario forecasts, CLV calculations, sensitivity tables) and the executive dashboard summary. Not used for data collection or storage.

MySQL: Used to store, structure and query all datasets. All 5 analytical query outputs were generated via SQL and exported as CSV files for use in Tableau.

Tableau Public: Used for all data visualisation. The live dashboard is publicly accessible and the interactive version allows filtering by year, channel and metric.

This report was prepared as an academic data analysis portfolio project by Kushagra Kumar, IVth Year, Electronics & Telecommunications Engineering, IET DAVV, Indore. September 2026. All analysis is for educational purposes only.